

Outline of the consolidated companies regime [¶20-010]

[¶20-010]

[Click to open document in a browser](#)

The consolidation regime allows wholly-owned groups of companies to elect to consolidate as a single company for income tax purposes. The regime is an elective one, with the term “consolidated group”, defined in s [YA 1](#), as being a consolidated group formed under s [FM 35](#).

Under the consolidation regime, wholly-owned groups of companies are able to:

- # transfer assets within the consolidated group, with deferred income tax consequences
- # pay exempt dividends between the companies (including exemption from fringe benefit tax (FBT) on non-cash dividends)
- # claim deductions for administration and other costs of holding companies that may not normally be deductible to the holding company (this would be the case if the holding company derives no income)
- # utilise losses incurred by group members by referring to shareholder continuity of the group, not of the individual members, and
- # offset imputation credits within the group, even though ordinary imputation credit rules do not permit grouping of imputation credits.

Other important aspects of the regime include the following:

- # A consolidated group is issued with its own IRD number. One consolidated income tax return is prepared to cover total income and losses of each member less intra-group transactions of all members of the group.
- # The member companies must nominate one of their number to be agent for tax purposes. Each member company must expressly agree to be jointly and severally responsible for income tax, pay as you earn (PAYE), resident withholding tax (RWT), employer's superannuation contribution tax (ESCT) and FBT liabilities. However, each individual company remains legally responsible for compliance with the relevant provisions.
- # All intra-group interest and dividend flows remain exempt from RWT.
- # Joint tax assessments are only available to consolidated groups.
- # Provisional tax is payable on a group basis with thresholds applying to group income and group residual income tax.
- # Losses incurred by group members are available for use by any group member, including a new group member. This is because shareholder continuity is determined by reference to the group, not the individual member generating the loss. Losses incurred by a company while a member of the group remain with the group on that company's exit from the group.
- # The regime extends to controlled foreign companies and foreign investment funds.

Potential disadvantages

Potential disadvantages of the consolidation regime include:

- # joint and several liability for consolidated group company tax liabilities continuing after the disposal of a company out of the group (subject to limited exceptions)
- # underlying income tax liabilities when a company ceases to be a member of a consolidated group while holding property that has been the subject of intra-group transfers — thus the group will be required to continually monitor asset transfers out of the group to make sure the necessary tax adjustments are made
- # exposure to normal tax rules for transactions occurring during the year a company ceases to be a member of a consolidated group, and
- # possible increased compliance costs and onerous administrative and accounting requirements including:
 - # tracing of pre-consolidation losses and imputation credits

- # keeping records for intra-group transfers of assets
- # preparation of tax accounts for individual group companies, and
- # elimination of intra-group transactions.

Law: IT07 subpart [FM](#)

Last reviewed on 31 December 2025

Eligibility to form a consolidated group [¶20-015]

[¶20-015]

[Click to open document in a browser](#)

Two or more companies may form a consolidated group of companies if at the time the companies are a wholly-owned group of companies and eligible to be part of a consolidated group under ss [FM 31](#) and [FM 35](#).

The eligibility rules are contained in s [FM 31](#). Only companies resident in New Zealand may consolidate.

To be eligible to form a consolidated group or to remain as part of a consolidated group at a particular time, the consolidating companies must be 100% commonly owned, and each group company must satisfy the following requirements:

- # it must be resident in New Zealand
- # it must not derive only exempt income (other than foreign company dividends and dividends from within wholly-owned group of companies)
- # the company must be incorporated in New Zealand, or be carrying on business through a fixed establishment in New Zealand
- # it must be a member of the same wholly-owned group of companies as the other members of the consolidated group
- # if a company in a consolidated group is a qualifying company or a company that is a mineral miner, then all the other companies in the same group must be of the same type
- # if a member of a consolidated group has a non-standard balance date, all companies in the group must have that same balance date, and
- # shares in the consolidating companies must not be subject to an arrangement to defeat the intent and application of the consolidation rules.

Two of the eligibility requirements, one of which was repealed, do not apply to determine whether a grandparented consolidated company is eligible to form or join a consolidated group, or continues as part of a consolidated group. Section [FM 31\(3\)](#) is a transitional provision that preserves the status of specific pre-existing arrangements of companies consolidating. A grandparented consolidated company is a company that chooses to form or join the consolidated group before 17 May 2006, carries on a business, and whose total amount of finance-related deductions (ie interest incurred or expenditure under the financial arrangements rules, other than amounts arising only from movements in currency exchange rates) for the previous income year is within specified thresholds (s [FM 31\(3\)](#)).

If 2 or more companies wish to form a consolidated group for income tax purposes, they must satisfy the requirements of s [FM 35](#) for consolidation:

- # the companies are a wholly-owned group of companies (s [IC 4](#) describes the way in which 100% common ownership is determined), and
- # the companies are eligible under s [FM 31\(1\)](#) and:
 - # the companies have the same balance date (s [FM 31\(4\)](#))
 - # the companies are either all qualifying companies or all non-qualifying companies, ie a qualifying company cannot consolidate with a non-qualifying company (s [FM 31\(2\)\(a\)](#))
 - # no shares in the companies have been subject to an arrangement to defeat the intention and application of the consolidation rules (s [FM 31\(6\)](#)).

Consolidation of mining companies

Special rules apply to the consolidation of mining operations to ensure that:

- # a mineral miner that is a company may form a consolidated group only with other mineral miners companies (s [FM 31\(2\)](#)), and

losses incurred by mineral miners are dealt with under subpart [IS](#) (Mineral miners' and petroleum miners' tax losses) rather than subpart [ID](#) (Use of tax losses by consolidated groups) (s [IS 2](#)).

Law: IT07 ss [FM 31](#), [FM 35\(1\)](#), [IS 1\(2\)](#)

Last reviewed on 31 December 2025

Forming a consolidated group [¶20-020]

[¶20-020]

[Click to open document in a browser](#)

Companies seeking consolidation that have satisfied the requirements of s [FM 31](#) follow the procedure for forming a consolidated group set out in s [FM 35](#).

For 2 or more eligible companies to form a consolidated group, an election must be made in writing to the Commissioner nominating one of the companies to be the agent of the consolidated group for the purposes of the Act. Elections can be completed on form [IR494](#) (Election to form a consolidated group). The election notice must contain:

- # an agreement by each of the companies to be jointly and severally liable with other members of the consolidated group for any income tax payable by the consolidated group, and
- # a nomination of an agent or “nominated company” of the group.

The nominated company becomes the first point of contact with Inland Revenue (IR), and is the company to which, in the first instance, IR looks to satisfy any unpaid tax liabilities. The nominated company can transfer its status to another consolidated group company by notifying the Commissioner.

Electing companies are generally treated as forming a consolidated group with effect from the beginning of the income year in which it notifies IR, provided it gives this notice within 63 working days of the start of that income year. If an election is received later or the notice does not specify an income year, it applies from the start of the following income year (s [FM 38\(4\)](#)). The Commissioner has a discretion to extend the 63 working days if satisfied that the election could not reasonably have been provided within that period (s [FM 38\(6\)](#)).

Under s [FM 38\(5\)](#) there is provision for companies that have become entitled to form a consolidated group during an income year to be treated as a consolidated group from the first day of entitlement provided that the notice is received by the Commissioner within 63 working days of the first day of entitlement. Companies that form a consolidated group during an income year are required to provide part-year accounts in the return for that year.

An anti-avoidance provision is contained in s [FM 38\(7\)](#), which prevents groups consolidating during an income year where it is reasonable to conclude there is an arrangement to defeat the intent and application of the consolidation rules.

It is not possible for a company to be a member of more than one consolidated group at any particular time (s [FM 32](#)).

Law: IT07 ss [FM 32](#), [FM 34](#), [FM 35](#), [FM 38](#), [HD 11\(1\)](#)

Last reviewed on 31 December 2025

Joining an existing consolidated group [¶20-025]

[¶20-025]

[Click to open document in a browser](#)

If a consolidated group exists, another company that meets the eligibility requirements and is entitled to become a member of the same consolidated group may elect to join that group by notice in writing to the Commissioner (usually on form [IR495](#) Consolidated groups – general elections). The rules for joining an existing consolidated group are similar to those for forming a consolidated group. The notice must contain the company's agreement to be jointly and severally liable for the tax liability of the consolidated group.

A company that joins an existing consolidated group is usually treated as a member with effect from the beginning of the income year in which it notifies IR, provided it gives notice within 63 working days of the start of the income year. In any other case, membership will commence from the start of the following year.

A recently acquired company may join an existing consolidated group from the day it first becomes entitled to be a member, providing that it notifies IR within 63 working days of entitlement. Similarly, a newly incorporated company may also join an existing consolidated group from the start of the income year in which it is incorporated providing it notifies IR within 63 working days of incorporation (s [FM 38\(6\)](#)).

Law: IT07 ss [FM 36](#), [FM 38](#)

Last reviewed on 31 December 2025

Leaving a consolidated group [¶20-030]

[¶20-030]

[Click to open document in a browser](#)

A company may voluntarily cease to be a member of a consolidated group by notifying the Commissioner. A company may defer the date on which it leaves the consolidated group to the first day of the next income year (s [FM 39\(3\)](#)). If the company does not defer the leaving date, it is treated as ceasing membership with effect from the start of the income year in which the Commissioner receives the notice (s [FM 39\(2\)](#)). If a company leaves a consolidated group in the same income year it joined the group and does not defer the leaving date, it is treated as ceasing membership on the date it joined the group (s [FM 39\(4\)](#)).

The following provisions provide for circumstances in which a company is deemed to have ceased being a member of a consolidated group:

- # The company no longer meets the eligibility criteria in s [FM 31](#) (ss [FM 37\(b\)](#) and [FM 40](#)).
- # The company is no longer eligible to be in the same consolidated group as the nominated company (ss [FM 37\(c\)](#) and [FM 40](#)).
- # The company is a member of a consolidated group that ceases to have a nominated company (ss [FM 37\(d\)](#) and [FM 41](#)).

Section [FM 40](#) covers the position where a company is no longer eligible to be part of a consolidated group or is no longer eligible to be in the same group as the nominated company. In such cases, the company will be treated as leaving the consolidated group from the beginning of the income year in which the relevant event affecting eligibility occurred. Alternatively, a company may leave the consolidated group from the date eligibility ended, provided notice is given to the Commissioner within 20 working days of that date and the company provides part-year financial statements. Note that the Commissioner can extend the notice period if it is reasonable to do so in the circumstances. An anti-avoidance provision in s [FM 40\(5\)](#) provides the notice will not be valid if it was part of an arrangement to defeat the consolidation rules. In that case, the company will be treated as leaving the group at the beginning of the tax year in which its eligibility ended. If a company's eligibility ends in the same income year in which it joined the group, the company is treated as leaving the consolidated group on the day it joined.

Where, during an income year, the consolidated group ceases to have a nominated company, all the companies in the group are treated as having left the group from the beginning of that income year. However, in the situation where the nominated company is liquidated and IR receives written notice of a replacement nominated company within 20 working days after the date of liquidation, then the other companies are not treated as having left the group (s [FM 34\(5\)](#)). The Commissioner has discretion to extend the notice period.

Note that if a company is no longer part of a consolidated group because it has been liquidated, the company is not treated as leaving the group from the start of the income year of liquidation and part-year financial statements are not required (s [FM 42](#)).

Law: IT07 ss [FM 37](#), [FM 39](#), [FM 40](#), [FM 41](#), [FM 42](#)

Last reviewed on 31 December 2025

When part-year financial statements required under consolidation regime [¶20-032]

[¶20-032]

[Click to open document in a browser](#)

When a company enters or exits a consolidated group, or a consolidated group forms or ends, during an income year, the company or consolidated group (as appropriate) must furnish part-year financial statements in the tax return for that year (s [FM 14](#)).

Part-year accounts are necessary because the company or consolidated group becomes a different tax entity and will be subject to different tax rules in the year of formation, entry, exit or cessation. Part-year financial statements must be included in the company's, or consolidated group's, tax return and filed by the normal due date.

The annual gross income, annual total deductions, income tax liability or tax loss is determined by treating the part year as a complete year. Because the part year is treated as a complete income year, the income/loss of the separate part-year periods are not netted off. This is relevant when determining any part-year net losses and profits for carry forward and offset in subsequent income years.

Law: IT07 s [FM 14](#)

Last reviewed on 31 December 2025

Returns, assessments and liability under consolidation regime [¶20-035]

[¶20-035]

[Click to open document in a browser](#)

Where a company is a member of a consolidated group, the nominated company furnishes a single return of income derived in that income year by all the companies.

The other companies do not make separate returns of income, except where any company is not a member of the group for part of the income year.

The return is filed under an IRD number that is separate from the individual companies' IRD numbers; however, it must include accounts for the separate affairs of each company. The consolidated group will receive only one income tax notice of assessment that will cover the group as a whole. Separate notices of assessment will only be issued where they are required by part-year consolidations.

Each company in the consolidated group will be jointly and severally liable for any taxable income arising in the period when that company is a member of the group. This liability replaces any individual liability those companies may have had for the income tax on income derived by them. However, note that the nominated company may apply to the Commissioner for approval for one or more named companies in the consolidated group to bear the group's income tax liability for the tax year (s [FM 4\(2\)](#)). The Commissioner must approve any such application, unless limiting the liability to the named companies will significantly prejudice the likely recovery of the group's tax for the year (s [FM 4\(3\)](#)). Where approval is granted, the named companies are jointly and severally liable for the group's tax.

When a company leaves a consolidated group, s [FM 5](#) is intended to ensure that the joint and several liability imposed on all members of a consolidated group to satisfy income tax obligations of the consolidated group does not apply to that company in relation to an increase in an income tax obligation of the group made:

- # for a tax year the exiting company was a member of the group, and
- # under an amended assessment for that tax year after the exiting company left the group.

Law: IT07 ss [FM 3](#), [FM 4](#), [FM 5](#)

Last reviewed on 31 December 2025

Calculation of taxable income of consolidated group [¶20-040]

[¶20-040]

[Click to open document in a browser](#)

Detailed rules for calculating the taxable income or net loss of a consolidated group are contained in ss [FM 7–FM 23](#). These rules provide that a consolidated group is, generally, to be treated as if it were a single company and intra-group transactions are excluded from the calculations of income, although asset transfers result in deferred income tax liabilities. A consolidated group's taxable income is the sum of all the member companies' taxable income with some special rules applying to:

- # treatment of the consolidated group as a single company
- # the determination of thresholds on a group level
- # intra-group items of income and expenditure.

Generally, intra-group transactions are treated as transactions between branches of the same company. Under s [CX 60](#) when a company that is part of a consolidated group derives an amount from a transaction with another group company, the amount derived is excluded income of the company. However, under s [FM 8](#), amounts arising from the following transactions will be included in taxable income:

- # the disposal of trading stock
- # certain amounts under a base price adjustment (s [EW 31](#))
- # dividends arising from pre-consolidation debt remissions
- # dividends derived by a local authority.

Section [FM 9](#) applies when a company that is part of a consolidated group derives an amount that would not be income of the company in the absence of the section but would be income of the consolidated group if it were one company. The section provides that the amount is income of the company under s [CV 2](#) (Consolidated groups: income of company in group). An exception to this exists in relation to the land tainting rules for bodies linked or associated with a local authority (s [CB 15C](#) and [¶7-209](#)) and companies in the same wholly-owned group as K#inga Ora – Homes and Communities (s [CB 15D](#) and [¶7-210](#)).

Income tax consequences of intra-group asset and property transfers are deferred until:

- # the group deconsolidates
- # a transferee leaves or ceases to be a member of the group (other than being liquidated), or
- # a transferred asset is disposed of outside the group.

Essentially, assets are transferred intra-group at the tax written down value. In the event of a company leaving the group or the group deconsolidating, the tax profit or loss will be based on the deemed market value of the asset at the time the company leaves the group, the cost of the asset to the original transferor, and accumulated depreciation. A complex and comprehensive set of asset transfer rules apply to determine deferred tax liabilities on assets subsequently transferred out of the group.

Transfers of residential land between companies

For the purposes of the 2-year bright-line test for residential land under s [CB 6A](#) (and the repealed 10-year and 5-year bright-line tests under former s [CB 6A](#) and repealed s [CZ 39](#)), transfers of residential land within a wholly-owned group of companies that is a consolidated group is treated as having the same bright-line acquisition date for that transferred land as the transferor company. In other words, the transfer does not reset the bright-line start date.

Expenditure/loss incurred by group companies

In general, expenditure or losses incurred through transactions with other consolidated group companies are not deductible. Expenditure incurred on transactions with non-group members are deductible (ss [DV 16](#) and

[FM 10](#)). Deductions for administration and other expenses of a holding company are allowed regardless of whether the holding company itself derives any assessable income (s [FM 11](#)).

If a consolidated group would be denied a deduction for an item of expenditure or loss as one company, a company that is part of the consolidated group is denied a deduction. The exception is for an amount of expenditure or loss that relates to interest on money borrowed by the company from an external party so that another group member could acquire a minimum 66% shareholding of a third group company (ss [DV 17](#) and [FM 12](#)). It will be necessary to demonstrate a clear link between the monies borrowed and the intra-group loan used to purchase equity (in the third group company) to satisfy the requirements of s [DB 7](#).

Threshold levels

In accordance with rules set out in s [FM 2](#), where a provision of the Income Tax Act 2007 (IT07) specifies a threshold, the position of the group is required to be determined as if the consolidated group is a single company.

Law: IT07 ss [CX 60](#), [DV 16](#), [FM 6\(1\)](#), [FM 7–FM 23](#)

Last reviewed on 31 December 2025

Loss carry-forward and grouping of consolidated group members [¶20-045]

[¶20-045]

[Click to open document in a browser](#)

All losses incurred by members of a consolidated group are treated as losses of the group. This means that the losses remain with the group for utilisation against group results when the company incurring them leaves the group. A consolidated group is treated as if it were a single company for the purposes of the carry-forward, carry-back and grouping of tax losses. Consequently, the results of a consolidated group can be grouped with other companies outside the consolidated group.

The ownership of a member company's pre-consolidation losses remains with that member. During the time that company is a member of the group, the member's pre-consolidation losses can be offset against group taxable income. This is the case provided the company meets the loss carry-forward rules in subparts [IA](#) and [IB](#), and the group existed from the year the loss was incurred through to the income year of the offset. Where the company claiming the loss does not have the required minimum 66% common ownership interests under s [IC 3](#) with one or more companies in the same consolidated group, s [ID 3](#) restricts the loss to the total of:

- # the amounts that the company incurring the pre-consolidation loss (loss company) is permitted to carry forward if it was not part of the consolidated group, and
- # the amount permitted to be offset against income of those other members that formed a 66% group with the loss company at all relevant times.

A member's pre-consolidation losses that are not offset against group income can be:

- # carried forward for offset against the company's future income when it leaves the group, or
- # offset to a commonly owned company (66%) with it, which may include a company in another consolidated group, or
- # offset by way of election or payment from a profit company against assessable income of a company that is not a member of a consolidated group.

The ordering rules in s [IA 9](#) provide that consolidated group losses and pre-consolidation losses are carried forward for offset in the same order as they were incurred, ie on a "first in, first out" (FIFO) basis. Where these losses arise in the same tax year, the consolidated group must determine the order in which the losses are to be used and notify IR accordingly. If notification is not provided, the losses must be used on a pro rata basis.

A remedial amendment ensures that losses carried forward under the business continuity test rules apply to consolidated companies from 1 April 2020 (s [ID 5\(2\)](#)).

Law: IT07 ss [IA 9\(3\)](#), [ID 1](#)–[ID 5](#)

Last reviewed on 31 December 2025

Consolidated groups — tax credits and CFC, FIF regimes [¶20-050]

[¶20-050]

[Click to open document in a browser](#)

Under s [FM 6\(4\)](#), for the purposes of the controlled foreign company (CFC) and foreign investment fund (FIF) regimes, a consolidated group is treated as if it were a single company.

In the case of an individual group member having pre-consolidation tax credits, attributed CFC losses or FIF losses, ownership of those credits and net losses remains with that group member. A member's pre-consolidation tax credits, attributed CFC losses or FIF losses may be used as follows:

- # offset against the group's income tax
- # offset against the group's attributed CFC income or FIF income, subject to the quarantine rules
- # carried forward for offset against future income tax payable
- # carried forward for offset against the member's further net income when it leaves the consolidated group or joins another group
- # offset against income tax payable by any other commonly owned company.

As with other losses, the group's tax credits, attributed CFC losses and FIF losses must be used on a FIFO basis. Where losses arise in the same tax year, the consolidated group must pro rata the losses.

Law: IT07 ss [FM 6\(4\)](#), [IQ 1\(3\)](#), [IQ 6–IQ 8](#), [LK 8–LK 11](#)

Last reviewed on 31 December 2025

Provisional tax obligations of a consolidated group [¶20-065]

[¶20-065]

[Click to open document in a browser](#)

A consolidated group, for provisional tax purposes, is regarded as a single company. Consequently, the provisional tax thresholds apply on a group basis. The initial liability is with the nominated company, however, the consolidated group companies are jointly and severally liable for any provisional tax payable by the group. Where a group has been granted approval by IR for joint and several liability to be limited under s [FM 4](#) to one or more of its companies, the provisional tax liability is also modified. See ss [FM 4\(3\)–\(5\)](#) and [RC 28\(3\)](#).

Company joining or leaving a consolidated group

Provision is made for the situation where a company joins or leaves a consolidated group under ss [RC 29](#) and [RC 30](#). Where a company joins a consolidated group, under s [RC 29\(2\)](#), the residual income tax of the consolidated group is treated as increased by an amount equal to the residual income tax of the individual company for the preceding tax year, or the tax year before that, as applicable.

Example:

Kalo Ltd joins Black consolidated group on 1 April 20X4. The group has a 31 March balance date. Kalo Ltd was a member for 12 months during the 20X5 income year. Black group must include 12 months of residual income tax derived by Kalo Ltd in the 20X4 income year (plus 5% uplift) (or the 20X3 income year (plus 10% uplift)) in its provisional tax payments for the 20X5 provisional tax year. Kalo Ltd makes no payment of provisional tax individually.

If an individual company ceases to be a member for all or part of a tax year, it must estimate its residual income tax no later than the third instalment date for the income year following the year of departure (ss [RC 7](#) and [RC 30](#)). The consolidated group may file an estimate reducing its provisional tax payment.

GST ratio method

A consolidated group can elect to use the GST ratio method to determine the provisional tax liability for a tax year if the group meets the requirements set out in s [RC 16](#) and is not excluded by s [RC 17](#) ([¶22-105](#)). Section [RC 31](#) sets out specific modifications to the GST ratio method provisions when a company joins a consolidated group to provide for situations such as where the group loses its eligibility to use that method or the ratio must be recalculated.

Law: IT07 ss [FM 4](#), [RC 8](#), [RC 16](#), [RC 17](#), [RC 28–RC 31](#)

Last reviewed on 31 December 2025

Withholding tax obligations of a consolidated group [¶20-068]

[¶20-068]

[Click to open document in a browser](#)

Joint and several liability for a consolidated group's income tax extends to RWT, non-resident withholding tax (NRWT), FBT, ESCT and tax deductions including PAYE. However, member companies remain individually responsible for complying with their respective obligations for these taxes, such as filing individual returns.

Law: IT07 s [FM 3\(7\)](#)

Last reviewed on 31 December 2025

Imputation account of a consolidated group [¶20-070]

[¶20-070]

[Click to open document in a browser](#)

Subpart [OP](#) of the IT07 contains the provisions dealing with the operation of the imputation credit account (ICA) of consolidated groups.

A consolidated group is required to maintain a group ICA covering the group's activities. The ICA balance of an individual company that becomes a member of the consolidated group is not transferred to the group ICA on entry. The ICA of each member in the group is maintained separately from the group ICA.

A transfer from an individual company ICA occurs when the group ICA is in debit and that debit is not offset by any group credit that arose earlier or on the same date as the credit in the individual company ICA. When a credit transfer occurs, a corresponding debit arises to the individual ICA. The ordering procedure for group credits is set out in s [OP 22\(3\)](#). The ordering procedure ensures that if a company leaves the consolidated group, it takes its unused pre-consolidation imputation credits with it.

The nominated company for a consolidated group must fulfil the group's requirements under ss [69](#) and [70](#) of the Tax Administration Act 1994 (TAA) regarding annual imputation returns as if the group were a single company (s [74](#) of the TAA).

Under an amendment, made in 2021 and applying retrospectively for the 2008–09 and later income years, a consolidated imputation group can use pre-consolidation imputation credit balances in a group company's ICA before it uses group credits. This means that imputation credits generally will be used on a FIFO basis, which is in line with the wider imputation framework.

To be used by the consolidated imputation group, the pre-consolidation imputation credit balance of the group company must exist at the date of the debit to the group ICA (so shareholder continuity must be satisfied for the amount to be transferred).

The amount of the credit balance that can be transferred from group companies to the group is limited to the amount of the group's imputation debit. This is because, when an imputation credit is transferred from a group company's ICA to the consolidated imputation group's ICA, the date for the credit becomes the day of the credit transfer, rather than the day the tax was paid. Consequently, if the credit transfer were not limited to the consolidated imputation group's debit, credits could be carried forward that would (and should) otherwise have been extinguished due to changes in shareholder continuity calculated by reference to the date the credit originally arose.

Law: IT07 subpart [OP](#), s [GB 38](#); TAA s [74](#)

Last reviewed on 31 December 2025

Outline of amalgamations [¶20-085]

[¶20-085]

[Click to open document in a browser](#)

Amalgamations are authorised by Pt 13 of the Companies Act 1993 (C93).

Under s 219 of the C93, 2 or more companies may amalgamate and continue as one company, which may be one of the amalgamating companies or it may be a new company. In an amalgamation, s 225 of the C93 provides that the amalgamated company is deemed to have acquired all the property, rights, powers and privileges of the amalgamating company. Two approaches are available to achieve that outcome.

Forms of amalgamation

The first approach involves the participation of shareholders. It requires the preparation of a formal amalgamation proposal incorporating details of the intended transaction. The boards of the amalgamating companies must resolve that the amalgamation is in the best interests of both companies and that the solvency test will be satisfied immediately after the amalgamation becomes effective. In addition, shareholders must approve the amalgamation by a special resolution (75% approval required).

The second approach is a short-form amalgamation between companies that are, directly or indirectly, wholly-owned. The amalgamation proposal must be approved by the boards of the amalgamating companies with notice of the proposal to secured creditors. Again, the boards need to resolve that the solvency test will be satisfied immediately after the amalgamation becomes effective. Shareholder approval is not required.

Once approved, the amalgamation proposal must be notified to the Registrar of Companies. Upon receipt of the notification and the supporting documents, the Registrar issues a certificate of amalgamation with the certificate specifying the effective date of the amalgamation.

On the effective date, the amalgamated company has its name registered (if it is newly incorporated), and all of the amalgamating companies other than the surviving company are removed from the register of companies. Where there are cross-shareholdings in amalgamating companies, these shares are cancelled for no payment or consideration.

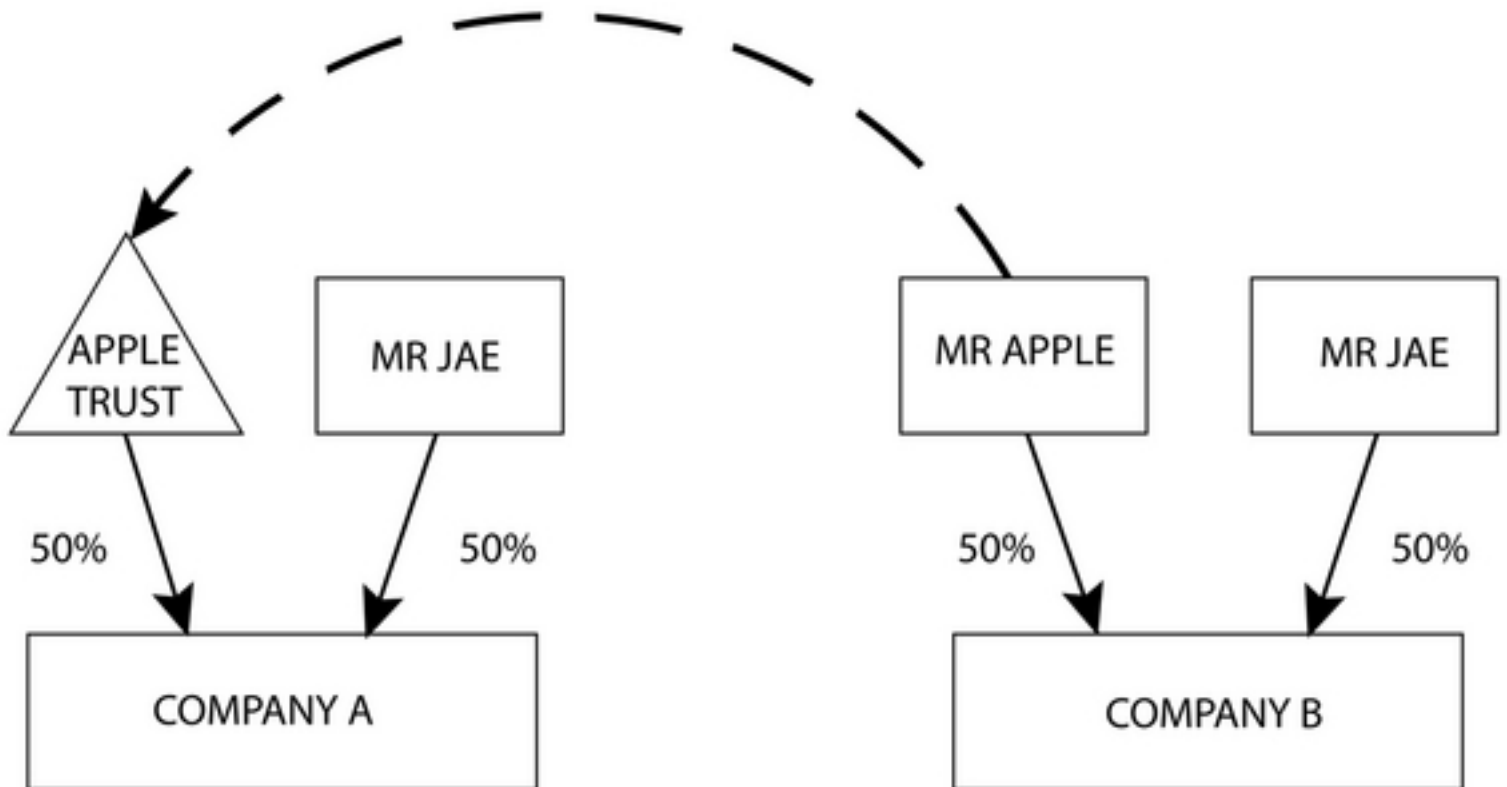
The general tenor of the effect of the amalgamation is that the amalgamated company succeeds to all the assets, property, rights, powers and privileges, together with all of the liabilities and obligations, of the amalgamating company.

Details of the amalgamation transaction must be notified to the Commissioner ([¶20-093](#)).

Example:

Company A is owned 50% by Apple Trust and 50% by Mr Jae.

Company B is owned 50% by Mr Apple and 50% by Mr Jae.



Can Company A and Company B amalgamate? If they cannot amalgamate, would a share transfer of 50% in Company B from Mr Apple to Apple Trust assist with the objective of amalgamating Company A and Company B?

As matters stand, Company A and Company B are unrelated and a long form amalgamation would be necessary, with a share issue or a cash payment from the amalgamated company on amalgamation to either the trustees of Apple Trust, if Company A is to be the amalgamated company, or to Mr Apple personally, if Company B is to be the amalgamated company. This would compensate them for their lost investment when Company A or Company B is removed.

For a short form amalgamation under s [222\(2\)](#) of the C93 Mr Apple would have to transfer his shares in Company B to the trustees of Apple Trust, so the holding in both Company A and Company B would be Mr Jae 50% and the trustees 50%. Either company could then become the amalgamated company.

As s [222\(1\)](#) short form amalgamation is possible, but would entail the transfer of the full shareholding in either Company A or Company B to the other company, ie Company A would become a subsidiary of Company B or vice versa. The determining factor would be who would be the ultimate shareholders. For example, will the ultimate shareholders be those currently holding in Company A with a shareholder Company A/Company B structure or those shareholders currently holding in Company B with a shareholder Company B/Company A structure?

Adjusting the shareholding to create a suitable structure for a short form amalgamation involves share transfers for consideration on a shareholder-to-shareholder level, which is a personal expense to the purchasing shareholder. If the long form procedure is used, the share transfers are avoided, with the amalgamated company instead providing compensation to the holders whose investment is lost when the company in which they hold shares is removed.

Long form amalgamation

Although it involves more work, the long form procedure may be preferable in this case. At least 20 working days before the proposed date of amalgamation the board of each company must send to each shareholder:

a copy of the amalgamation proposal

- # copies of the certificates given by directors that the amalgamation is in the best interests of the company and that the amalgamated company will satisfy the solvency test
- # a summary of the principal provisions of the constitution of the amalgamated company (if it has one)
- # a statement that a copy of the amalgamated company's constitution will be supplied to any shareholder who requests it
- # a statement setting out the buyout rights conferred by s [110](#) of the C93
- # a statement of any material interests of the directors in the proposal, whether in the capacity of directors or otherwise, and
- # any further information and explanation necessary to enable a shareholder to understand the nature and consequence to the company and its shareholders of the proposal.

The board must also send a copy of the proposal to every secured creditor and give public notice of the proposal in accordance with s [221\(4\)](#) of the C93.

The board must consider if the amalgamation will be in the best interests of the company. Best interest is assumed to be present in a short form amalgamation, because the amalgamation simply shrinks a group of companies, whereas a long form amalgamation is generally for unrelated companies and needs to be justified.

The amalgamation proposal must be approved by the shareholders of each amalgamating company and, if necessary, by any relevant interest group (s [221\(5\)](#) of the C93).

Law: C93 ss [219](#), [225](#)

Last reviewed on 31 December 2025

Tax consequences of amalgamations [¶20-090]

[¶20-090]

[Click to open document in a browser](#)

Tax provisions in subpart [FO](#) specify the taxation consequences of the amalgamation of companies.

In general, these sections provide that for resident's restricted amalgamations (previously "qualifying amalgamations") certain property may be transferred to an amalgamated company on a concessional taxation basis and an amalgamated company may succeed to tax losses and imputation credits as well as other credits of amalgamating companies subject to the tests of continuity and commonality of ownership being satisfied.

The general law position is that the amalgamated company succeeds to all of the property, rights, powers and privileges of the amalgamating company. This treatment is expressly extended for income tax purposes for the year of amalgamation and earlier tax years. Under s [FO 4](#), for those periods, the amalgamated company:

- # must comply with the obligations of the amalgamating company under the Inland Revenue Acts
- # must meet the liabilities of the amalgamating company under the Inland Revenue Acts, and
- # is entitled to the rights, powers and privileges of the amalgamating company under the Inland Revenue Acts.

Similar provisions are set out in s [76](#) of the TAA. Some overlap may be created by that provision stating that the amalgamated company must:

- # comply with all obligations of and meet all liabilities of, and be entitled to all rights, powers and privileges of, the amalgamating company under the Inland Revenue Acts with respect to the tax year in which the amalgamation occurs and all preceding tax years, and
- # make a return of income for the amalgamating company for the tax year in which the amalgamation occurs.

One consequence of this treatment is that the amalgamated company becomes responsible for payment of any tax owed by the amalgamating company. For example, the amalgamating company may have an income tax liability on account of the disposal of property of the amalgamating company at market value under an amalgamation that is not a resident's restricted amalgamation. The amalgamated company becomes responsible for satisfying this tax liability.

No remission income

General principles include the proposition that income may arise if an amount allowed as a deduction is subsequently remitted. As a companion measure the deduction is restored if the remitted liability is subsequently paid.

Neither of these rules apply merely because the amalgamated company succeeds to a liability of the amalgamating company upon the amalgamation (s [FO 5](#)).

An amount remitted may arise for base price adjustment calculation purposes if the amalgamating company is insolvent.

Interpretation statement

Interpretation statement [IS 25/10](#), "Income tax and GST – Amalgamations" provides detailed commentary along with practical examples on the income tax and GST treatment of company amalgamations. The item also sets out the different tax treatments between concessional amalgamation and non-concessional amalgamations.

Binding rulings

The Commissioner considers that an amalgamated company is entitled to rely on a private, product or status ruling that an amalgamating company was previously entitled to rely on (interpretation statement [IS0081](#) “The impact of company amalgamations on binding rulings” in *Tax Information Bulletin* ¶176-104 Vol 17, No 6, August 2005 at 12). This is because the amalgamated company succeeds to all of the rights, powers and privileges of the amalgamating company. However, the ability to rely on the pre-amalgamation ruling is subject to the continued fulfilment of any conditions and assumptions and post-amalgamation dealings not being materially different to the arrangement ruled upon.

Financial arrangements determinations

In “Questions we’ve been asked” item [QB0045](#), “The impact of company amalgamations on financial arrangement determinations”, IR has also stated that the rights or obligations arising to an amalgamating taxpayer under a financial arrangements determination (being a taxpayer-specific determination made under s [90AC](#) on application by the taxpayer under s [90AB\(1\)](#) of the TAA) will pass to the amalgamated company on the amalgamation. This will be the case whether the amalgamation is a resident’s restricted amalgamation or an amalgamation other than a resident’s restricted amalgamation.

Law: IT07 subpart [FO](#); TAA s [76](#)

Last reviewed on 31 December 2025

Notification to the Commissioner of amalgamation [¶20-093]

[¶20-093]

[Click to open document in a browser](#)

Details of the amalgamation transaction must be notified to the Commissioner. The information to be supplied encompasses:

- # the name and tax file number of each amalgamating company and the amalgamated company
- # the date upon which the amalgamation has effect
- # the balance date of the amalgamated company if it is a non-standard balance date, and
- # any other information that may be required.

The information is to be incorporated in form [IR432](#), which must be filed with the Commissioner within 63 working days of one of the following:

- # the date of delivery of the documents evidencing the amalgamation to the Registrar of Companies for registration
- # the date the notice of transfer of all engagements is registered in the case of an amalgamation of building societies
- # the date of the extraordinary resolution in the case of an amalgamation of co-operative dairy companies, or
- # the date the equivalent procedure occurs under foreign law in the case of an amalgamation under foreign law.

A copy of the certificate of amalgamation needs to be filed together with completed form [IR432](#).

Law: TAA s [75](#)

Last reviewed on 31 December 2025

Resident's restricted amalgamation [¶20-095]

[¶20-095]

[Click to open document in a browser](#)

A resident's restricted amalgamation occurs where, at the time of the amalgamation, each of the amalgamating companies and the amalgamated company:

- # is a New Zealand resident (s [FO 3\(1\)\(a\)](#))
- # is not treated as a non-resident under a double taxation agreement (s [FO 3\(1\)\(b\)](#))
- # does not derive only exempt income, excluding dividends exempt under ss [CW 9](#) and [CW 10](#) (a company here includes a local authority that is not a council-controlled organisation) (s [FO 3\(1\)\(c\)](#) and [\(4\)](#))
- # are qualifying companies if the amalgamated company is, immediately after the amalgamation, a qualifying company (QC) (s [FO 3\(1\)\(d\)](#) and [\(2\)](#)), and
- # have not elected out of the resident's restricted amalgamation regime (s [FO 3\(5\)](#)).

With respect to a resident's restricted amalgamation, existing QCs may still amalgamate in accordance with the provisions set out in s [FO 3\(2\)](#). It is possible to amalgamate a QC with a non-QC. However, the amalgamation will not be a resident's restricted amalgamation. Consequently, the concessional tax rules that apply to a resident's restricted amalgamation will not apply.

To elect out of treatment as a resident's restricted amalgamation, the election must be included with the notice of amalgamation to be filed with IR no later than 63 days after registration of the amalgamation with the Companies Office.

Law: IT07 s [FO 3](#); TAA s [75](#)

Last reviewed on 31 December 2025

Available subscribed capital and available capital distribution amount of amalgamated companies [¶20-100]

[¶20-100]

[Click to open document in a browser](#)

The available subscribed capital (ASC) and the available capital distribution amount of a company are the amounts that can be distributed tax-free to shareholders who hold the shares on capital account ([¶16-720](#) and [¶16-760](#)). Both amounts are valuable to companies and particular care is required to make sure they are calculated accurately.

Section [CD 43](#) contains the rules for calculating the ASC of a company. This section, including the effects of an amalgamation on the calculation of ASC, is discussed in full at [¶16-760](#). In [QB 25/06](#), the Commissioner details how an amalgamated company is required to calculate ASC under s [CD 43](#) with practical examples.

In brief, the ASC of the amalgamated company is preserved and includes the ASC of amalgamating companies (s [CD 43\(15\)](#)). Where shares in an amalgamated company held by an amalgamating company are cancelled on amalgamation, the ASC of the amalgamated company is reduced (s [CD 43\(24\)](#) and [\(25\)](#)).

When determining the available capital distribution amount of an amalgamated company, s [CD 44\(8\)](#) ensures that a capital gain amount of an amalgamating company retains its character as a capital gain amount when it passes to the amalgamated company on amalgamation.

Law: IT07 ss [CD 43\(15\)](#), [\(24\)](#), [\(25\)](#), [CD 44\(8\)](#)

Last reviewed on 31 December 2025

No taxable dividend when amalgamating company ceases to exist [¶20-101]

[¶20-101]

[Click to open document in a browser](#)

An amount derived by an amalgamated company on a resident's restricted amalgamation from an amalgamating company that ceases to exist is not a dividend if it arises from:

- # the amalgamated company acquiring property of the amalgamating company, or
- # the amalgamated company being relieved of an obligation owed to the amalgamating company.

Law: IT07 s [CD 35](#)

Last reviewed on 31 December 2025

Cancellation of shares in an amalgamation [¶20-105]

[¶20-105]

[Click to open document in a browser](#)

Where an amalgamating company holds shares in another amalgamating company that are cancelled upon amalgamation, the shares are deemed to have been disposed of by the shareholder amalgamating company immediately before the amalgamation for an amount equal to the cost of the shares to the shareholder amalgamating company. This treatment ensures that no taxable income emerges from the cancellation.

Where shares in an amalgamating company are held by someone other than another amalgamating company and those shares are transferred or cancelled as a consequence of the amalgamation, the general provisions of the IT07 apply. This means that revenue account shareholders will realise income or losses as a result of the amalgamation.

Law: IT07 s [FO 6](#)

Last reviewed on 31 December 2025

Resident's restricted amalgamation: transfer of depreciable assets [¶20-106]

[¶20-106]

[Click to open document in a browser](#)

"Amortising property" is transferred on a resident's restricted amalgamation at a tax written-down value, ie cost less depreciation. "Amortising property" is property for which a depreciation deduction is allowed or for which a deduction on account of amortisation of expenditure may be made (see s [YA 1](#) definition).

The amalgamated company is deemed to have acquired the property on the date on which it was acquired by the amalgamating company for an amount that is the sum of:

- # the price paid for the property, and
- # any expenditure incurred in buying or improving the property, and
- # any expenditure incurred in securing or improving the amalgamating company's legal rights to the property.

The amalgamated company is also treated as having claimed all the depreciation in connection with that asset (s [FO 16\(4\)](#)). The amalgamating company is deemed not to have derived any income or have had any deductions on the disposal of the asset to the amalgamated company (s [FO 16\(1B\)](#)). Consequently, no clawback of depreciation will arise on the transfer of depreciable property on a resident's restricted amalgamation.

Where the property transferred was subject to the pool method of depreciation, the consideration for the disposal and acquisition depends on whether the property comprises the entire pool or only part of the pool. In the case of the former, the consideration is the adjusted tax value of the pool immediately before the amalgamation (s [FO 16\(2\)](#)). In the latter case, the consideration is the lesser of the market value of the property or the adjusted tax value of the pool immediately before the amalgamation (s [FO 16\(3\)](#)).

An amalgamating company transferring property to the amalgamated company in a resident's restricted amalgamation may claim depreciation in the year of amalgamation for the period up to the date of amalgamation (ss [DV 15\(3\)](#) and [FO 10\(7\)](#)). Also see Example 6 and 7 in [IS 25/10](#), "Income tax and GST – Amalgamations".

Law: IT07 ss [DV 15\(3\)](#), [FO 10](#), [FO 16](#), [YA 1](#) ("amortising property")

Last reviewed on 31 December 2025

Resident's restricted amalgamation: acquisition of trading stock [¶20-107]

[¶20-107]

[Click to open document in a browser](#)

Where property transferred on a resident's restricted amalgamation is trading stock of both the amalgamating and amalgamated companies, the consideration for the disposal and acquisition is taken as the value of the trading stock to the amalgamating company as determined under the valuation methods provided for in subpart [EB](#). Valuation of the trading stock will be at the time of the amalgamation. See s [FO 10\(5\)](#).

For further background on the available valuation methods, see [¶19-020–¶19-063](#).

Law: IT07 s [FO 10\(5\)](#)

Last reviewed on 31 December 2025

Resident's restricted amalgamation: acquisition of revenue account property and land [¶20-108]

[¶20-108]

[Click to open document in a browser](#)

Under s [FO 10\(6\)](#), if property is revenue account property of the amalgamating company but not of the amalgamated company, the consideration for the disposal and acquisition is taken as the market value of the property at the time of the amalgamation. The land will not be held to be revenue account property simply because of the operation of the "bright-line test" or the "2-year rule" in ss [CB 6A](#), [CB 9–CB 11](#), and [CB 14](#). However, s [FO 17\(3\)](#) may apply.

Land held on capital account by the amalgamating company but on revenue account by the amalgamated company because of the bright-line test or 2-year rule is also deemed to be transferred to the amalgamated company at market value at the time of amalgamation. The transfer of land that is subject to the bright-line test or 2-year rule will not trigger assessability, rather the relevant bright-line or 2-year period will apply from the date of acquisition by the original amalgamating company. Under s [FO 17\(3\)](#), if the amalgamated company subsequently disposes of the property within the relevant bright-line or 2-year period from the date of acquisition of the amalgamating company, any profit or gain from the disposal is income of the amalgamated company.

When, at the time of the amalgamation, it is unclear whether the amalgamated company holds the property on revenue or capital account (eg the amalgamated company would only hold the property on revenue account if it disposed of it within 2 years), the property is transferred at market value when:

- # the land is held on revenue account by the amalgamating company (but not merely because of the bright-line test or 2-year rule), and
- # the land is, or may be, revenue account property of the amalgamated company because of the bright-line test or 2-year rule.

See Table 2 in [IS 25/10](#), "Income tax and GST – Amalgamations" which summarises whether land is transferred at cost or market value on a concessionary amalgamation.

Relief from interest limitation rules

Note: From 1 April 2024, interest deductibility is being restored in a phased manner and, from 1 April 2025, the rules are substantially repealed ([¶10-814](#)).

Section DH 5(5)(d) provides rollover relief to a transfer of property as part of a company amalgamation under s [FO 17](#). Relief applies when "disallowed residential property" (s DH 5(2)) passes from an amalgamating company to the amalgamated company on a resident's restricted amalgamation on or after 27 March 2021, provided the amalgamating company had a grandparented transitional loan.

Rollover relief is only available if the amalgamating company and amalgamated company are New Zealand resident and are not treated as non-resident under a tax treaty. This is to ensure that, consistent with the rules for bright-line rollover relief, rollover relief for interest limitation is provided on the condition the property remains within the New Zealand tax base. The amalgamated company's grandparented transitional loan balance may not exceed the amalgamating company's loan balance at the time of transfer.

Law: IT07 ss DH 5(5)(d), [FO 10\(6\)](#), [FO 17](#)

Last reviewed on 31 December 2025

Resident's restricted amalgamation: transfer of financial arrangements [¶20-109]

[¶20-109]

[Click to open document in a browser](#)

Where a financial arrangement is transferred from an amalgamating company to the amalgamated company on a resident's restricted amalgamation, the special provisions under s [FO 12](#) will apply if the following criteria are met:

- # the financial arrangements rules apply to the financial arrangement, and
- # the amalgamating company and the amalgamated company were members of the same wholly-owned group of companies for the whole of the income year before the amalgamation, and
- # the method of calculating income and expenditure from the financial arrangement does not change after the amalgamation and the amalgamated company's return is made on that basis, and
- # the amalgamating company is not permitted to carry forward a loss balance from an earlier tax year for use in the tax year corresponding to the income year of the amalgamation unless s [IE 2](#) allows all tax losses included in the loss balance, and arising from earlier tax years, to be attributed to the amalgamated company as a tax loss.

Where the above conditions are satisfied, the amalgamated company may choose to adopt the following treatment:

- # under s [FO 12\(3\)](#), the amalgamating company is treated as if it had never been party to the financial arrangement. The base price adjustment calculation under s [EW 31](#) is not applicable to the transfer of the financial arrangement or the obligations under it, and
- # under s [FO 12\(4\)](#), the amalgamated company is treated as if it had taken the place of the amalgamating company in relation to the financial arrangement in terms of:
 - # the date the company entered into the arrangement, and
 - # the consideration paid, and
 - # the income derived, and
 - # the expenditure incurred, and
 - # the returns of income provided.

Where s [FO 12](#) does not apply and the method of calculating income or expenditure for the financial arrangement remains the same despite the amalgamation, the amalgamating company is treated as having disposed of the financial arrangement for consideration and the amalgamated company is treated as having acquired the financial arrangement for that consideration.

Section [FO 14](#) stipulates that in any other case where a transfer of a financial arrangement is made under a resident's restricted amalgamation (and ss [FO 12](#) and [FO 13](#) do not apply) the amalgamating company is treated as having disposed of the financial arrangement and the consideration for the disposition is the market value of the financial arrangement on the date the amalgamated company acquires it.

Law: IT07 ss [FO 12](#), [FO 13](#), [FO 14](#)

Last reviewed on 31 December 2025

Amalgamation: transfer of property or financial arrangements [¶20-110]

[¶20-110]

[Click to open document in a browser](#)

If an amalgamated company acquires (on an amalgamation other than a resident's restricted amalgamation) any property of an amalgamating company:

- # the amalgamating company is treated as having disposed of the property for market value at the time of the amalgamation, and
- # the amalgamated company is treated as having acquired the property at that market value.

Where an amalgamated company acquires a financial arrangement, or obligations under it, from an amalgamating company on an amalgamation (other than a resident's restricted amalgamation), the amalgamating company is treated as having disposed of the financial arrangement immediately before the amalgamation. The consideration for the disposal is the market price for assuming the obligations at the time of the amalgamation. The amalgamated company is treated as having acquired the financial arrangement immediately after the amalgamation for the market value of the property at the time of the amalgamation.

Where an amalgamation is not a resident's restricted amalgamation, the amalgamating company is treated as existing at the time of amalgamation for the purpose of s [EE 41](#). This provision will apply where the amalgamating company that owns the asset satisfies the criteria for the associated person test with the amalgamated company. The effect of this section is that the (associated) amalgamated company will be prevented from making a larger depreciation claim than the amalgamating company could have made. Section [EE 41](#) overrides ss [FO 11](#) and [FO 15](#).

Law: IT07 ss [EE 41](#), [FO 11](#), [FO 15](#)

Last reviewed on 31 December 2025

Treatment of financial arrangements between amalgamating companies [¶20-111]

[¶20-111]

[Click to open document in a browser](#)

Where the parties to a financial arrangement amalgamate, the financial arrangement is treated as having been discharged immediately before the amalgamation. A base price adjustment calculation must be made, irrespective of the kind of amalgamation. For resident's restricted amalgamations, the treatment will then differ depending on whether the amalgamating company is solvent or insolvent. Sections [FO 18](#), [FO 19](#) and [FO 20](#) clarify the way in which amalgamating companies must account for financial arrangements that exist between them.

Resident's restricted amalgamation where borrower is solvent or insolvent but likely to be able to meet its obligations under the financial arrangement

Under a resident's restricted amalgamation involving a solvent borrower:

- # The consideration for the deemed discharge is the outstanding accrued balance for the financial arrangement.
- # The outstanding accrued balance is calculated under the formula in s [FO 19](#), being — consideration + prior expenditure + expenditure accrued in year — income accrued in year — consideration paid.
- # The creditor is, in turn, deemed not to have remitted any amount in excess of the consideration treated as paid for the discharge for the purposes of the base price adjustment.

Amalgamation that is not a resident's restricted amalgamation or where borrower insolvent

A borrower will be treated as insolvent where they cannot satisfy the test for solvency in s [4](#) of the C93. Where either the amalgamation is not a resident's restricted amalgamation or the borrower is insolvent immediately before the amalgamation and unlikely to be able to meet its obligations under the financial arrangement:

- # The borrower is treated as having paid the creditor the market value of the financial arrangement on the date of amalgamation as consideration for the deemed discharge.
- # The creditor is, in turn, deemed to have remitted the excess over market value of its outstanding accrued balance of the financial arrangement. The consequence is that the debtor company will have financial arrangement income. The outstanding accrued balance in this case is calculated under the formula in s [FO 20](#), being — consideration + prior income + income accrued in year — expenditure accrued in year — consideration paid.

See [IS 25/10](#), "Income tax and GST – Amalgamations" for commentary and examples demonstrating the application of the financial arrangement rules (at [84]–[96]).

Law: IT07 ss [FO 18](#), [FO 19](#), [FO 20](#)

Last reviewed on 31 December 2025

Succession of rights and obligations in an amalgamation [¶20-112]

[¶20-112]

[Click to open document in a browser](#)

On amalgamation, the amalgamated company assumes all the rights and obligations of the amalgamating company or companies under the Inland Revenue Acts with respect to the tax year in which the amalgamation occurs and all previous tax years (s [225](#) of the C93).

In addition, the amalgamated company must file a tax return in respect of the amalgamating company or companies in the tax year of amalgamation. The period of the return will be from the beginning of the amalgamating company's tax year to the date of amalgamation. The due date for the return will remain the same. Imputation credit account returns must also be filed for the amalgamating company or companies for the same period. These returns are due within 2 months of the date of amalgamation.

The amalgamated company's income tax return for the tax year of amalgamation will:

- # in the case of a new company, cover the period from the date of amalgamation to 31 March (or an approved alternative balance date), or
- # be for the 12 months to the company's balance date, when one of the amalgamating companies becomes the amalgamated company.

Section [FO 5](#) provides that the mere assumption by an amalgamated company of the liabilities and obligations of an amalgamating company does not result in the deriving or remission income or the allowance of a deduction for a remitted amount subsequently repaid.

See the notes to IR's form [IR432](#), "Declaration of an amalgamation", for a summary of the amalgamating and amalgamated companies' tax obligations in respect of GST, FBT, RWT, NRWT, PAYE, etc. See also [¶20-130–¶20-132](#) and [¶20-135](#).

Building societies may use the amalgamation tax rules for companies (s [FO 4](#)).

Law: IT07 ss [FO 4](#), [FO 5](#); TAA s [76](#)

Last reviewed on 31 December 2025

Bad debts or expenditure when amalgamating company ceases to exist [¶20-115]

[¶20-115]

[Click to open document in a browser](#)

Where an amalgamating company ceases to exist on a resident's restricted amalgamation, the amalgamated company is entitled to a deduction for bad debts written off and for any expenditure or loss, including a depreciation loss, incurred as a result of something the amalgamating company did or did not do before the amalgamation.

The amalgamated company is allowed the deduction under s [DV 15\(2\)](#) if the amalgamating company would have been allowed the deduction but for the amalgamation and the amalgamated company is not otherwise allowed the deduction.

Law: IT07 ss [DV 15\(2\)](#), [FO 8](#)

Last reviewed on 31 December 2025

Unexpired accrual expenditure of amalgamating company that ceases to exist [¶20-116]

[¶20-116]

[Click to open document in a browser](#)

For an amalgamating company that ceases on amalgamation, the amount of any unexpired portion of prepaid expenditure of the amalgamating company for the income year of amalgamation is deemed to be the amalgamated company's unexpired portion of the expenditure.

Consequently, the amalgamating company should include this amount in its final tax return to the date of amalgamation. The amalgamated company will then be permitted to make a deduction for the unexpired portion of the expenditure in the year of amalgamation.

Further, the income of the amalgamated company includes any amount derived by the amalgamated company after the amalgamation that is derived because of anything done or not done by the amalgamating company and that would have been income of the amalgamating company but for the amalgamation.

Law: IT07 ss [CV 4](#), [FO 7](#), [FO 9](#)

Last reviewed on 31 December 2025

Interest on borrowings to acquire shares in amalgamating company that ceases to exist [¶20-117]

[¶20-117]

[Click to open document in a browser](#)

Section [DB 8](#) permits interest to be deducted if it is payable by one company included in a group of companies in respect of money borrowed to acquire shares in another company included in that group. Section [DB 8\(3\)](#) confirms that a deduction for interest on money borrowed to acquire shares in an amalgamating company is preserved notwithstanding the company ceasing to exist on a resident's restricted amalgamation. A deduction continues to be available provided the acquirer and the target were members of the same group of companies immediately before the resident's restricted amalgamation.

Law: IT07 s [DB 8\(3\)–\(5\)](#)

Last reviewed on 31 December 2025

Tax losses or tax credits in an amalgamation [¶20-120]

[¶20-120]

[Click to open document in a browser](#)

Whether losses arising before amalgamation to the amalgamated company, an amalgamating company or another company within the group can be utilised after a resident's restricted amalgamation is governed by ss [IA 9\(3\)](#) and [IE 1–IE 5](#).

The intention of the provisions is to closely align them with existing rules governing the carry-forward and grouping of tax losses so that the amalgamation regime cannot be used to enable companies to carry forward or offset losses that would otherwise be lost.

The provisions also apply to income tax losses, attributed CFC net losses, FIF net losses and to the crediting of CFC tax credits that arose before amalgamation (s [IQ 1\(4\)](#)).

There are no specific provisions relating to amalgamations other than resident's restricted amalgamations. Losses of an amalgamating company cannot be utilised by an amalgamated company after an amalgamation other than a resident's restricted amalgamation, unless that amalgamating company becomes the amalgamated company and the general loss carry-forward and offset tests are met.

Interpretation statement [IS 25/09](#), "Tax treatment of losses on amalgamation" provides detailed guidance on how tax losses incurred before an amalgamation by an amalgamating company, an amalgamated company or a non-amalgamating group company, can be used after the amalgamation.

Tax loss of the amalgamating company

The tax loss of the amalgamating company under a resident's restricted amalgamation may pass to the amalgamated company if (s [IE 2](#)):

- the amalgamating company meets either the 49% shareholder continuity test ([¶18-023](#)) or the business continuity test ([¶18-035](#)) to the date of amalgamation, and
- the amalgamating company and amalgamated company are members of the same group of companies during any loss carry forward period.

The requirement concerning the ability to group with the amalgamating company extends to any additional amalgamating company that amalgamates with the amalgamated company before use of the tax loss. This requirement effectively prevents the staggering of amalgamations with the objective of passing the tax loss of the amalgamating company to a company that was not in the same group of companies (see Example 4 in [IS 25/09](#)).

Following the passing of the tax loss to the amalgamated company, that company may deduct the tax loss from its net income or carry the tax loss forward for deduction from future net income subject to continuity requirements.

The tax losses of an amalgamating company under an amalgamation that is not a resident's restricted amalgamation are extinguished.

Tax loss of the amalgamated company

The treatment of an amalgamated company's tax losses arising before amalgamation depends on whether they are used in the pre-amalgamation part year or the post-amalgamation part year (s [IE 3](#) and see Examples 11–14 in [IS 25/09](#)).

An amalgamated company may only carry forward its tax losses from a previous income year if:

- # the loss is able to be carried forward to the year under one of the continuity tests, and
- # the loss could have been grouped against the net income of each of the other amalgamated companies.

An ordering rule ensures that a carried forward tax loss of an amalgamated company must first be used to subtract from the company's part-year net income (if any) up to the date of amalgamation.

Any balance remaining may be carried forward to the post-amalgamation part year if:

- the amalgamated company meets one of the continuity tests, and
- the tax loss component could have been grouped against the net income of the amalgamating company for that part of the tax year up until the amalgamation, treating that part year as if it was a separate tax year.

There is a qualification if the tax loss is a CFC net loss or an FIF net loss. There is preservation of both kinds of tax loss only if the amalgamated company and the amalgamating company are members of the same wholly-owned group of companies (s [IE 3](#)).

Tax losses of an amalgamated company arising after amalgamation are subject to the general tax loss rules.

Part-year tax loss

The part-year tax loss of a group member may be deducted from the net income of the amalgamated company only if the tax loss company, the amalgamated company and the amalgamating company together meet all requirements for the grouping of the tax loss at the time of the amalgamation (s [IE 4](#) see Example 15 in [IS 25/09](#)).

Disregard of amalgamation for tax loss purposes

The amalgamation may be disregarded for certain purposes concerning the treatment of a tax loss. The amalgamated company is treated as if it did not exist before the amalgamation and essentially "steps in to the shoes" of the amalgamating company with its accompanying shareholder profile. Reverting to the pre-amalgamation position is useful in determining whether the tax loss may:

- # be used under the available options for use of the tax loss
- # be grouped with the net income of another company, or
- # be deducted from the net income of the amalgamated company by another group company.

This treatment ensures that the removal of the amalgamating company by the amalgamation does not disturb the various shareholder continuity requirements for tax losses of the different kinds (s [IE 5](#)).

Example:

A Ltd and B Ltd have the following shareholdings:

	A Ltd %	B Ltd %
Jon	70	50
Don	30	25
Kim	—	25
	100%	100%

After four years A Ltd and B Ltd amalgamated with A Ltd as the amalgamated company and B Ltd the amalgamating company.

The post-amalgamation shareholding of A Ltd became:

Jon	52%
Don	25.5%
Kim	22.5%

There is a pre-amalgamation tax loss carried forward by B Ltd as at the date of the amalgamation. A Ltd would be entitled to deduct the tax loss from its post-amalgamation net income. Disregarding the amalgamation, the shareholding of Jon ensures compliance with the shareholder continuity requirement for the carry-forward of the tax loss.

Also see Example 7 in [IS 25/09](#) for a further illustration.

In *Selectrix Management Ltd v Registrar of Companies* (2005) 22 NZTC 19,181 the shareholders of the amalgamating company became shareholders in the amalgamated company. Consequently, the amalgamated company ceased to satisfy the 49% continuity shareholder requirement to be able to carry forward its pre-amalgamation tax losses. The High Court rejected the application for a declaration that the amalgamation was a nullity and of no legal effect. The pre-amalgamation tax loss was forfeited and unavailable to the amalgamated company upon the amalgamation.

The treatment and use of tax credits when companies amalgamate is regulated by ss [LK 12–LK 15](#).

Law: IT07 ss [IA 9\(3\)](#), [IE 1–IE 5](#), [IQ 1\(4\)](#), [LK 12–LK 15](#)

Last reviewed on 31 December 2025

Imputation credit account when amalgamating company ceases to exist [¶20-125]

[¶20-125]

[Click to open document in a browser](#)

Under a resident's restricted amalgamation the imputation credits and debits recorded in the memorandum account of the amalgamating company pass to the amalgamated company with effect from the original credit and debit date (s [OA 9](#)). This treatment extends to a credit or debit due to the amalgamating company but which is not actually recorded in the memorandum account of the amalgamating company before the amalgamation (ss [OA 10](#) and [OB 24](#)).

The provisions dealing with imputation credits and debits do not refer to the position under an amalgamation that is not a resident's restricted amalgamation. In the absence of provisions ensuring their survival, the credits and debits would be extinguished upon the amalgamation.

Entry of the credit and debit in the memorandum account of the amalgamated company is on the same date as the corresponding record was made in the memorandum account of the amalgamating company. Essentially, the credits and debits are not "refreshed" by the amalgamation so that, for example, the shareholder continuity requirement for the carry forward of an imputation credit continues to apply from the date of credit to the memorandum account of the amalgamating company and not from the date of the amalgamation.

The amalgamation is disregarded for the purpose of ascertaining for credit carry forward purposes whether there is a breach of the requirement for continuation of the required minimum market value interests where a market value circumstance exists. For the pre-amalgamation period, the amalgamated company is treated as if it did not separately exist, and the amalgamated company was instead the amalgamating company with the same shareholder profile as the amalgamating company.

This treatment ensures that the removal of the amalgamating company by the amalgamation does not disturb the requirements for the continued presence of imputation credits and debits together with other available credits.

Avoidance provisions overcoming an arrangement to facilitate the carry forward of imputation credits continue to apply despite the amalgamation. The avoidance provisions are suitably modified to take account of the circumstances of the amalgamation.

Law: IT07 ss [OA 9](#), [OA 10](#), [OA 14](#), [OA 15](#), [OB 24](#), [OB 53](#)

Last reviewed on 31 December 2025

Provisional tax payments when amalgamating company ceases to exist [¶20-130]

[¶20-130]

[Click to open document in a browser](#)

When an amalgamating company ceases to exist on amalgamation, the amalgamated company must comply with the amalgamating company's obligations and liabilities under the Inland Revenue Acts for the tax year of amalgamation and all previous tax years (s [FO 4](#)).

To calculate the provisional tax instalments payable by the amalgamated company after amalgamation, the residual income tax of the amalgamated company for the tax year before the amalgamation, or the tax year preceding that year, is deemed to equal the combined previous year, or year preceding the previous year as applicable, residual income tax of all the amalgamating companies. This applies only for provisional tax payments due after the amalgamation (s [RC 33](#)).

Law: IT07 ss [FO 4](#), [RC 33](#)

Last reviewed on 31 December 2025

Fringe benefit tax payment when amalgamating company ceases to exist [¶20-131]

[¶20-131]

[Click to open document in a browser](#)

Employers providing fringe benefits that are unclassified benefits may be exempt from FBT under certain circumstances. For an employer accounting for FBT on an annual or income-year basis, the total taxable value of unclassified benefits must not exceed \$1,200 per employee pa or \$22,500 per employer pa (¶21-555). Section [RD 46](#) operates to proportionately reduce the \$22,500 de minimis amounts where the employer ceases to exist on amalgamation or a new company is established on amalgamation.

Paying FBT on a quarterly basis

If the amalgamating company pays FBT on a quarterly basis, the \$22,500 exemption figure is reduced for the quarter in which the amalgamation occurs (ss [RD 45\(2\)\(b\)](#), [RD 46\(2\)](#) and [\(3\)](#)).

The amount of the reduction is calculated by multiplying \$22,500 by the remaining days of the quarter, post-amalgamation, and dividing the product by the total number of days in the quarter. For an amalgamated (new) company which pays FBT quarterly, the amount of the reduction is calculated by multiplying \$22,500 by the number of days in the quarter before the amalgamation, and then dividing the product by the total number of days in the quarter.

Paying FBT on an annual basis

If the amalgamating company pays FBT annually, the \$22,500 sum is multiplied by the number of days remaining in the year (post-amalgamation) and the product divided by 365 (ss [RD 45\(3\)](#) and [RD 46\(4\)](#)).

If an amalgamated (new) company pays FBT annually, the reduction is calculated by multiplying \$22,500 by the number of days in the year before amalgamation and dividing the product by 365 (ss [RD 45\(3\)](#) and [RD 46\(5\)](#)).

Law: IT07 ss [CX 37](#), [RD 45](#), [RD 46](#)

Last reviewed on 31 December 2025

Payment of PAYE and other withheld amounts when amalgamating company ceases to exist [¶20-132]

[¶20-132]

[Click to open document in a browser](#)

Where an amalgamating company ends its existence on a resident's restricted amalgamation, any unsatisfied obligations of the amalgamating company in relation to the withholding and payment of tax become the obligations of the amalgamated company (s [RA 20](#)). This would apply to amounts withheld such as PAYE, ESCT and retirement scheme contribution tax (RSCT). See also [¶20-112](#).

Law: IT07 s [RA 20](#)

Last reviewed on 31 December 2025

Goods and services tax on an amalgamation [¶20-135]

[¶20-135]

[Click to open document in a browser](#)

Generally, a transfer of goods or services from an amalgamating company to an amalgamated company is deemed not to be a supply, so no GST is chargeable.

If a registered amalgamated company acquires goods and services from an unregistered amalgamating company during an amalgamation, the amalgamating company is treated as not having supplied those goods and services and the amalgamated company is deemed not to have paid for them (s [61A\(2\)](#) of the Goods and Services Tax Act 1985 (GST Act)).

However, where the amalgamated company is not registered for GST immediately after the amalgamation and the amalgamating company is registered immediately before the amalgamation, the goods and services are deemed to have been supplied for a consideration equal to their market value at the time of the amalgamation (s [61A\(3\)](#) of the GST Act).

Where goods have been transferred on a GST-free basis and the use of the goods is subsequently changed, the adjustment required by ss [21–21H](#) of the GST Act is calculated as if the amalgamated company had acquired those goods at the same time and at the same cost and for the same purpose as the amalgamating company.

Where an amalgamating company ceases to exist on an amalgamation, all supplies made by it are treated as made by the amalgamated company. Any adjustment for non-deductible entertainment expenditure that the amalgamating company would have been required to make had it not amalgamated must be made instead by the amalgamated company. Similarly, any deduction for bad debts that would have been available to the amalgamating company shall be made available to the amalgamated company (s [61A\(4\)](#) and [\(5\)](#) of the GST Act).

An amalgamation is deemed to occur on the last day of a taxable period in respect of a company that ceases to exist so that it is required to file a GST return up to that date (s [15E\(4\)](#) of the GST Act).

See [IS 25/10](#) for commentary and examples on the GST implications of company amalgamations (at [130]–[142]).

Law: GST ss [15E\(3\)](#), [\(4\)](#), [61A](#)

Last reviewed on 31 December 2025

Qualifying companies and amalgamation [¶20-150]

[¶20-150]

[Click to open document in a browser](#)

Existing qualifying companies may still amalgamate in accordance with the provisions set out in s [FO 3\(2\)](#) ([¶20-095](#)).

If a company that is not a qualifying company amalgamates with a qualifying company and ceases to exist on the amalgamation, the amalgamated company must pay qualifying company election tax under s [HA 40](#). In addition, the tax losses of the amalgamating company are lost (s [HA 23](#)).

Law: IT07 ss [FO 3\(2\)](#), [HA 23](#), [HA 40](#)

Last reviewed on 31 December 2025